

# Terms of Employment

Narsimha Tech | Effective: 1 January 2025 | Internal Use Only

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## 1. Purpose, Scope & Application

### 1.1 Purpose

These Terms of Employment ("the Terms") set out the contractual and policy framework governing the employment relationship between Narsimha Tech ("the Company") and its employees. They are designed to provide clarity and consistency across all offices, business units, and delivery teams, while allowing for the operational flexibility required by a fast-growing technology organisation. The Terms should be read alongside the Employee Handbook, the Detailed Leave Policy, the Global Travel Policy, and any role-specific addenda issued at the time of hiring.

### 1.2 Scope of Application

The Terms apply to all individuals employed by Narsimha Tech across its offices in Hyderabad, Bengaluru, and Chennai, as well as to remote delivery staff engaged directly by the Company in other countries, subject to local statutory overrides where mandated by local law. Where a conflict exists between these Terms and local labour legislation, local law prevails to the extent of the conflict, and the remaining provisions continue to apply.

### 1.3 Precedence of Documents

In the event of any inconsistency between documents, the order of precedence is as follows: (1) statutory law applicable in the employee's work location; (2) an individually signed employment contract or offer letter; (3) these Terms of Employment; (4) the Employee Handbook; (5) any policy circulated by HR from time to time. Employees who are uncertain which provision applies to their situation should contact HR Business Partner support via [hrsupport@narsimhatech.com](mailto:hrsupport@narsimhatech.com) before acting.

### 1.4 Definitions

For the purposes of these Terms, the following definitions apply:

- **"Company"** means Narsimha Tech and any of its subsidiaries or affiliates that adopt these Terms by reference.
- **"Employee"** means any individual engaged under a Permanent Full-Time, Permanent Part-Time, or Fixed-Term Contract arrangement, as documented in an employment letter.
- **"Line Manager"** means the individual to whom the employee directly reports, as recorded in the HR Information System (HRIS).
- **"Working Day"** means Monday to Friday, excluding gazetted public holidays observed at the employee's base location.

- **"Basic Salary"** means the fixed monthly component of compensation excluding allowances, bonuses, and reimbursements.
- **"CTC"** (Cost to Company) means the aggregate annual cost of an employee's compensation package, inclusive of statutory employer contributions and benefits.

## **2. Employment Categories**

### **2.1 Overview**

Narsimha Tech employs individuals under four broad categories, each carrying distinct entitlements, obligations, and termination provisions. The applicable category for any individual is stated explicitly in their employment letter and cannot be inferred from job title, seniority, or department alone.

### **2.2 Permanent Full-Time Employees**

Permanent Full-Time employees work a standard 40-hour week and receive the full suite of Company benefits described in the Employee Handbook, including health insurance, life insurance, provident fund contributions, leave entitlements, and performance-linked variable pay. This is the default category for most engineering, delivery, and corporate roles.

### **2.3 Permanent Part-Time Employees**

Permanent Part-Time employees work fewer than 40 hours per week on a schedule agreed in writing with their line manager at the time of hire or transition. Benefits, leave, and variable pay are pro-rated based on the ratio of contracted hours to the standard 40-hour week. For example, an employee contracted for 24 hours per week (60% of standard) receives 60% of the annual leave entitlement, 60% of group health insurance sum insured tiering (where tiering applies), and 60% of any fixed allowances. Part-time status does not reduce statutory entitlements below the legal minimum applicable in the employee's jurisdiction.

### **2.4 Fixed-Term Contract Employees**

Fixed-Term Contract (FTC) employees are engaged for a defined period stated in the offer letter, typically ranging from 3 to 24 months, often tied to a specific client engagement, project, or backfill requirement. FTC employment does not automatically convert to permanent status upon expiry of the term. Where the Company wishes to extend an FTC arrangement, a new or amended offer letter must be issued before the expiry date; absent such an amendment, the contract lapses on its stated end date without further notice obligation beyond what is stated in the original letter. FTC employees who are subsequently hired into a permanent role do not carry forward probation credit from the FTC period unless explicitly stated in the new offer letter.

### **2.5 Consultants and Contractors**

Individuals engaged as consultants or contractors operate under a separate Service Agreement (not an employment contract) and are not employees of Narsimha Tech for any purpose, including tax withholding, statutory benefits, leave entitlement, or termination notice. Consultants are responsible for their own tax filings and statutory compliance unless the Service Agreement states otherwise. Department heads engaging consultants must ensure that the nature of the engagement (deliverables-based, fixed fee or time-and-materials) is clearly documented to avoid any inadvertent characterisation as employment under

applicable labour law (the "misclassification risk"). Any consultant whose day-to-day work pattern begins to resemble employee status (fixed hours, line management, integration into Company systems beyond what is necessary for the engagement) should be flagged to HR and Legal for review.

## 2.6 Internal Transfers and Category Changes

Employees may move between categories — for example, from Fixed-Term Contract to Permanent, or from Full-Time to Part-Time — subject to business need, role availability, and mutual agreement. Any change in category must be documented through a formal addendum to the employment letter, issued by HR, and acknowledged in writing by the employee before it takes effect. Continuity of service for benefits such as gratuity is generally preserved across an FTC-to-Permanent conversion where the transition is immediate and without a break in service, but this should be confirmed in writing by HR on a case-by-case basis.

## 2.7 Frequently Asked Questions

### **Q: Can a Fixed-Term Contract be terminated early by the Company?**

A: Yes, subject to the notice or pay-in-lieu provisions stated in the individual offer letter, and subject to any minimum statutory notice applicable in the employee's location.

### **Q: Do part-time employees receive the full Learning & Development budget described in the Employee Handbook?**

A: The L&D budget is pro-rated in the same manner as other allowances unless the line manager and HR agree otherwise for a specific business reason.

### **Q: Is there a maximum number of consecutive Fixed-Term Contracts permitted?**

A: Where local law imposes a cap on the number or cumulative duration of fixed-term renewals (common in several jurisdictions), the Company complies with that cap. HR maintains a register of FTC renewals per employee to monitor this.

## **3. Working Hours, Attendance & Flexible Work**

### **3.1 Standard Hours**

Standard office hours are 9:00 AM to 6:00 PM, Monday through Friday, inclusive of a 1-hour unpaid lunch break, totalling 40 working hours per week. These hours apply by default to all Permanent Full-Time employees unless a role-specific shift pattern has been agreed (see Section 3.5, Shift Work).

### **3.2 Core Hours and Availability**

Core hours — during which all employees must be contactable and available for meetings, collaboration, and urgent business needs — are 10:00 AM to 4:00 PM on working days. Outside of core hours, employees may structure their remaining contracted hours flexibly, subject to line manager agreement and the operational needs of their team. Employees working with clients or teams in different time zones may have adjusted core hours documented in a Flexible Working Agreement (see Section 3.6).

### **3.3 Attendance Tracking**

All employees are required to log their attendance through the Company's HRIS time-tracking module, either via biometric attendance (for on-site staff) or self-service check-in/check-out (for remote and hybrid staff). Attendance records are used for payroll accuracy, leave reconciliation, and, where applicable, overtime calculation. Persistent unexplained attendance gaps may be escalated through the disciplinary process described in Section 9.

### **3.4 Overtime**

Overtime beyond 40 hours per week must be pre-approved by the department head; retroactive overtime claims without prior approval will generally not be honoured except in genuine emergencies. Non-exempt employees (typically those in operational, support, and certain technical delivery roles as classified in the HRIS) are compensated at 1.5x the standard hourly rate for approved overtime. Exempt employees (typically those in managerial, professional, and senior technical roles) receive compensatory time off in lieu (TOIL) at the manager's discretion rather than monetary overtime pay. TOIL must be used within 60 calendar days of accrual or it lapses, except where local law requires otherwise.

### **3.5 Shift Work**

Certain roles — particularly those supporting clients in different time zones, 24x7 production support, or operations functions — may be assigned to a shift pattern rather than standard hours. Shift patterns are documented in the employment letter or a subsequent shift addendum and may include night shift allowances, where applicable, of an amount specified in the addendum. Employees rostered to night shifts (10:00 PM to 6:00 AM) receive a night shift allowance and are entitled to a minimum 11-hour rest period between the end of one shift and the start of the next.

### 3.6 Flexible Working Arrangements

Flexible working arrangements — including compressed work weeks, staggered start times, and adjusted core hours — may be agreed in writing with the line manager where the role permits. Requests should be submitted via the HR Self-Service Portal and will generally be assessed against: (a) the operational needs of the team; (b) client commitments; (c) the employee's performance and reliability track record; and (d) precedent within the team to ensure fairness. Approved arrangements are documented in a Flexible Working Agreement and reviewed every 6 months or upon a change in role.

### 3.7 Remote and Hybrid Work Interaction

Working hours and core hours apply equally whether an employee is working on-site, hybrid, or remote, subject to the Remote Work Policy described in the Employee Handbook. Employees working remotely remain bound by the same attendance tracking and availability obligations as on-site staff.

### 3.8 Public Holiday Working

Employees required to work on a declared public holiday are entitled to a compensatory day off or overtime pay, as detailed in the Detailed Leave Policy, Section 7.

### 3.9 Illustrative Scenarios

**Scenario A:** An employee in the Bengaluru delivery team supports a client based in the United States and requests adjusted core hours of 1:00 PM to 7:00 PM to better overlap with the client's working day. The line manager approves this as a Flexible Working Agreement, and the employee's standard 9:00 AM start is shifted to 12:00 PM, while total weekly hours remain unchanged at 40.

**Scenario B:** A non-exempt support engineer works an additional 6 hours in a week to resolve a production incident, with prior approval from the department head. The employee is compensated at 1.5x the hourly rate for those 6 hours in the following payroll cycle.

**Scenario C:** An exempt engineering manager works through a weekend to support a critical release that had department head pre-approval. In lieu of overtime pay, the manager is granted 1.5 days of TOIL, to be used within 60 days.

## **4. Probation Period**

### **4.1 Standard Probation**

All new employees, excluding consultants, serve a 6-month probation period commencing on their date of joining as recorded in the HRIS. The probation period is a mutual evaluation window during which both the Company and the employee assess fit for the role.

### **4.2 Monthly Check-Ins**

Monthly one-on-one check-ins between the employee and line manager occur throughout the probation period to track progress against agreed targets. These check-ins should be documented in the Performance Management System (PMS) and typically cover: progress against onboarding milestones; skill development needs; alignment with team and Company culture; and any concerns raised by either party. Managers are expected to flag concerns early rather than waiting until the end of the probation period.

### **4.3 Early Termination During Probation**

Either party may terminate employment during probation with 1 month's written notice, or payment in lieu of that notice at the Company's discretion. Where the Company terminates during probation for performance reasons, the line manager must provide documented evidence of the performance concerns raised during the monthly check-ins; termination on this basis without prior documented feedback may be challenged through the grievance process.

### **4.4 Successful Completion**

On successful completion of probation, the employee receives a formal confirmation letter from HR and transitions to permanent status with full benefits, including annual leave encashment eligibility (per the Detailed Leave Policy) and full access to the Group Medisave Health Insurance scheme described in the Employee Handbook. Confirmation letters are typically issued within 10 working days of the probation end date, subject to line manager sign-off in the PMS.

### **4.5 Extension of Probation**

The probation period may be extended by up to 3 months if performance objectives have not been satisfactorily met. An extension must be communicated in writing, with specific, measurable objectives for the extended period and a defined review date. An employee may only have their probation extended once; at the end of the extension period, the Company must either confirm the employee, terminate the employment, or — in exceptional cases approved by the HR Director — agree a further bespoke arrangement.

### **4.6 Severance for Non-Confirmation**

Employees who do not pass probation receive a severance equivalent to 1 month's basic salary, paid alongside their final settlement, in addition to any earned and unused leave encashment to which they may be entitled under applicable local law.

#### **4.7 Probation for Internal Transfers and Promotions**

Internal transfers to a different role and promotions to a new grade do not, by default, trigger a new probation period. However, where a transfer or promotion involves a substantial change in responsibilities (for example, an individual contributor moving into a people-management role for the first time), the Company may apply a 3-month review period with similar monthly check-ins, though without the termination provisions of standard probation.

#### **4.8 Probation and Benefits Eligibility**

During probation, employees accrue benefits (leave, insurance enrolment eligibility) from day one in most cases, but certain entitlements — for example, encashment of unused leave — are only payable from the date of confirmation onward, as detailed in the Detailed Leave Policy.



## **5. Notice Period & Resignation Process**

### **5.1 Standard Notice Periods**

Following confirmation of employment, the standard notice period for either resignation or termination is 2 calendar months for all employees up to and including the Manager grade. Senior Manager, Director, and VP-level employees are required to give and receive 3 months' notice, reflecting the additional handover complexity typically associated with senior roles.

### **5.2 Resignation Process**

An employee wishing to resign must submit a formal written resignation, typically via the HR Self-Service Portal, addressed to their line manager and copied to HR. The notice period begins on the date the resignation is formally acknowledged in the HRIS, not the date of any informal verbal communication. The employee and line manager should agree a transition and knowledge-handover plan within 5 working days of the resignation being acknowledged.

### **5.3 Payment in Lieu of Notice**

The Company may, at its sole discretion, elect to pay the notice period in lieu of the employee serving it, in part or in full. Where the Company exercises this right, the employee's last working day is brought forward accordingly, and payment in lieu is calculated on the basis of basic salary plus fixed allowances for the unserved portion of the notice period. Variable pay and discretionary bonuses are not included in payment-in-lieu calculations unless local law requires otherwise.

### **5.4 Garden Leave**

Garden leave may be applied during any notice period where the Company deems it necessary to protect business interests or sensitive information — for example, where an employee is moving to a direct competitor, or where ongoing access to systems or client relationships during the notice period poses a risk. During garden leave, the employee continues to receive full pay and benefits but is relieved of day-to-day duties and is generally required to remain contactable and to refrain from engaging in any competing business activity, client contact, or recruitment of Company staff.

### **5.5 Shortfall in Notice Served**

Failure to serve the full notice period without mutual written agreement may result in proportional recovery of the shortfall from the employee's final settlement. For example, an employee on a 2-month notice period who leaves after serving only 6 weeks may have 2 weeks' equivalent pay recovered, unless the line manager and HR have agreed in writing to waive the remaining notice (a "notice buyout waiver").

### **5.6 Notice Period Calculation Worked Examples**

| Scenario                                              | Notice Required         | Outcome                                                             |
|-------------------------------------------------------|-------------------------|---------------------------------------------------------------------|
| Software Engineer (Manager grade and below) resigns   | 2 months                | Standard handover, no waiver requested                              |
| Director resigns to join a non-competing organisation | 3 months                | Company may waive part of notice with HR Director approval          |
| Senior Manager terminated for redundancy              | 3 months or pay in lieu | Company elects to pay in lieu; last day is immediate                |
| Employee on probation resigns                         | 1 month                 | Reduced probation notice applies, not the standard 2/3 month notice |

## 5.7 Counter-Offer and Withdrawal of Resignation

An employee may request to withdraw a resignation during the notice period; this is subject to line manager and HR approval and is not automatically granted, particularly where a backfill process has already commenced. Requests to withdraw should be submitted in writing as early as possible.

## 5.8 Handover Requirements

Employees serving notice are expected to: document ongoing work and open items in the Company's knowledge management system; transition client and stakeholder relationships formally, including joint calls or emails of introduction where appropriate; and complete a structured handover checklist provided by the line manager. Failure to complete a reasonable handover may be referenced in future reference checks at the Company's discretion, subject to applicable law.

## **6. Salary, Payroll & Benefits**

### **6.1 Compensation Structure**

Employee compensation packages are detailed in individual offer letters and comprise Basic Salary, House Rent Allowance (HRA), Special Allowance, and eligible variable components. Basic Salary typically constitutes 40-50% of CTC, with the remainder allocated across HRA, Special Allowance, statutory employer contributions (EPF, gratuity provisioning), insurance premiums, and performance-linked variable pay.

### **6.2 Payroll Cycle**

Salaries are disbursed on the last working day of each calendar month via direct bank transfer to the employee's nominated account. Payslips are made available through the HR Self-Service Portal by the 1st working day of the following month. Employees should verify their bank account details in the HRIS at the start of employment and after any change of bank, as the Company is not liable for delays caused by incorrect account information on file.

### **6.3 Statutory Deductions**

Statutory deductions include Employee Provident Fund (EPF) at 12% of basic salary, Professional Tax (where applicable by state), and income tax (TDS) as applicable under the prevailing Income Tax Act provisions. Employees can declare investments and tax-saving instruments through the annual tax declaration window (typically open from April to June) to optimise TDS calculation across the financial year.

### **6.4 Salary Reviews**

Annual salary reviews are conducted in April; adjustments are based on individual performance ratings (see Section 7) and overall company financial performance. Salary review outcomes are communicated individually and are not guaranteed year-on-year; a rating of "Meets Expectations" does not automatically entail an increment in years where company performance does not support broad-based increases.

### **6.5 Variable Pay / Performance Bonus**

Variable pay (performance bonus) of up to 20% of annual CTC is discretionary and tied to quarterly KPI achievement, with the annual bonus typically paid out in two instalments: an interim payout in October based on H1 performance, and a final payout in April based on full-year performance, net of the interim amount already paid. Variable pay is generally not paid to employees serving notice or whose last working day falls before the payout date, except where required by local law or explicitly agreed otherwise.

### **6.6 Allowances and Reimbursements**

In addition to fixed salary components, employees may be eligible for: Internet Reimbursement (for hybrid/remote employees, up to the cap stated in the Employee Handbook); Meal Vouchers; mobile phone reimbursement for client-facing and on-call roles, subject to a monthly cap communicated by Finance; and relocation allowance for employees who relocate at the Company's request between office locations, subject to a separate Relocation Policy and a minimum service commitment period.

## **6.7 Salary Advances**

Employees facing a genuine financial emergency may apply for a salary advance of up to one month's basic salary, recoverable over a maximum of 3 subsequent payroll cycles, subject to HR and Finance approval. No more than one outstanding salary advance is permitted per employee at any time, and advances are not available during the final 2 months of an employee's notice period.

## **6.8 Loan and Advance Recovery on Exit**

Any outstanding salary advance, relocation allowance subject to a clawback clause, or training bond amount is recovered from the employee's final settlement upon exit. Where the final settlement is insufficient to cover the outstanding amount, the employee remains liable for the balance and the Company may pursue recovery through appropriate means, including legal action where necessary.

## **6.9 Currency and Location-Based Pay**

Employees engaged to work from international remote locations are compensated in a currency and at a benchmark appropriate to their work location, as documented in their offer letter; this may differ from the India-based salary structure described above, including in relation to statutory deductions, which follow the local jurisdiction's requirements rather than EPF/Professional Tax/TDS.

## 7. Performance Management

### 7.1 Performance Review Cycle

Narsimha Tech conducts formal biannual performance reviews: a mid-year review in July and an annual appraisal in January. Employees are assessed against pre-agreed SMART objectives, core competency frameworks, and cultural alignment indicators, all of which are set collaboratively between the employee and line manager at the start of each review cycle and recorded in the Performance Management System (PMS).

### 7.2 Rating Scale

The performance rating scale runs from 1 (Does Not Meet Expectations) to 5 (Exceptional), with the following indicative distribution guidance used during calibration:

| Rating | Label                      | Indicative Description                                          |
|--------|----------------------------|-----------------------------------------------------------------|
| 5      | Exceptional                | Consistently exceeds objectives; visible impact beyond own role |
| 4      | Exceeds Expectations       | Regularly surpasses agreed objectives                           |
| 3      | Meets Expectations         | Solid, consistent delivery against agreed objectives            |
| 2      | Below Expectations         | Inconsistent delivery; specific gaps identified                 |
| 1      | Does Not Meet Expectations | Significant, sustained shortfall against role requirements      |

### 7.3 Calibration Process

Ratings proposed by line managers are reviewed in a calibration session with peer managers and the relevant HR Business Partner, to ensure consistency of standards across teams and to mitigate individual manager bias. Calibration may result in a rating being adjusted before it is finalised and communicated to the employee; any such adjustment is explained to the line manager so they can, in turn, explain the rationale to the employee.

### 7.4 Merit Increments and Variable Pay Linkage

Employees rated 4 or above are eligible for merit salary increments and enhanced variable pay, subject to the overall increment budget approved by the Executive Committee for that review cycle. A high individual rating does not guarantee a specific increment percentage, as the final amount also depends on the employee's position within their salary band (compa-ratio) and overall budget constraints.

## **7.5 Performance Improvement Plans (PIP)**

Ratings of 1 or 2 trigger a formal Performance Improvement Plan (PIP) with a 90-day remediation period. A PIP document, prepared jointly by the line manager and HR, specifies: the specific performance gaps identified; measurable improvement targets; the support and resources the Company will provide (training, mentoring, adjusted workload where feasible); and fortnightly review checkpoints during the 90-day period.

## **7.6 Outcomes Following a PIP**

Failure to meet the PIP targets may result in role change, demotion, or termination, following a final review meeting at which the employee may present their perspective. Successful completion of a PIP returns the employee to standard performance management, though HR may apply a closer monitoring period of a further 2-3 months as a matter of good practice.

## **7.7 Mid-Cycle Feedback and 1:1s**

In addition to the formal biannual cycle, employees are expected to have regular 1:1 conversations with their line manager (typically fortnightly or monthly) to discuss progress, blockers, and development needs. These informal check-ins are not formally rated but contribute context to the eventual formal review.

## **7.8 Disagreement with a Rating**

An employee who disagrees with their performance rating may request a review meeting with their line manager within 5 working days of the rating being communicated. If unresolved, the matter may be escalated to the HR Business Partner, and if still unresolved, follows the Grievance Redressal process described in the Employee Handbook.

## **8. Confidentiality, Intellectual Property & Restrictive Covenants**

### **8.1 Non-Disclosure Agreement**

All employees must sign the Narsimha Tech Non-Disclosure Agreement (NDA) as a condition of employment. The NDA remains in force both during and after employment, indefinitely for trade secrets and for a period specified in the NDA (typically 3-5 years) for other categories of confidential information.

### **8.2 Categories of Confidential Information**

Employees may not disclose proprietary information, trade secrets, client data, source code, pricing models, or strategic plans to any unauthorised person during or after employment. This includes, without limitation: unreleased product roadmaps; client contractual terms and pricing; internal financial results prior to any public disclosure; personally identifiable information of employees, clients, or candidates; and security configurations, credentials, or architecture diagrams of Company or client systems.

### **8.3 Data Classification**

Information handled by employees is classified, per the Information Security Policy, into Public, Internal, Confidential, and Restricted tiers. Employees must apply handling controls appropriate to the classification level of any document or dataset they create or access, including restricting sharing to a need-to-know basis and using only Company-approved storage and collaboration tools.

### **8.4 Intellectual Property Assignment**

All intellectual property (software, documentation, designs, processes, inventions) created by an employee in the course of their employment — whether or not created during working hours and whether or not using company resources — is the exclusive property of Narsimha Tech. This assignment extends to any improvement, derivative work, or adaptation of pre-existing Company IP. Employees agree to execute any further documentation reasonably required by the Company to perfect this assignment, including for patent filing purposes.

### **8.5 Pre-Existing IP and Open Source**

Where an employee believes that specific IP they bring into the Company predates their employment and should be excluded from the assignment in Section 8.4, this must be disclosed in writing to HR and the Legal team before the IP is used in any Company work product, and recorded in a pre-existing IP schedule. Use of open-source software in Company products must comply with the Open Source Usage Policy, including license compatibility review by the Engineering Standards team before inclusion in any client deliverable.

### **8.6 Non-Solicitation and Non-Compete**

Senior Manager grade and above are typically subject to a non-solicitation covenant restricting, for 12 months post-termination, the direct or indirect solicitation of Company clients with whom the employee had material dealings, and the solicitation of Company employees to leave their roles. Where local law permits and the employment letter specifies it, a limited non-compete covenant may also apply for a defined period and geography; non-compete provisions are drafted narrowly to be enforceable and proportionate, and are not applied as a blanket restriction across all roles.

## **8.7 Breach of Confidentiality**

Breach of confidentiality is grounds for immediate termination and potential civil or criminal legal action. Suspected breaches must be reported immediately to [security@narsimhatech.com](mailto:security@narsimhatech.com) and the Legal department, and will be investigated under the Information Security Incident Response process.

## **8.8 Return of Information on Exit**

On exit, employees must certify, as part of the offboarding checklist, that they have not retained any copies of confidential Company information on personal devices, personal cloud storage, or personal email accounts, and must permit a reasonable inspection where requested by IT Security for roles handling highly sensitive data.



## 9. Disciplinary Process

### 9.1 Principles

Narsimha Tech's disciplinary process is designed to be fair, proportionate, and consistent, while protecting the Company's legitimate business interests. Except in cases of gross misconduct, the process generally follows a graduated approach giving employees the opportunity to improve.

### 9.2 Informal Resolution

Minor conduct or performance concerns are typically addressed informally in the first instance, through direct feedback from the line manager, which should be documented in a brief note for the employee's file.

### 9.3 Formal Disciplinary Stages

Where informal resolution does not address the concern, or where the matter is more serious, the formal process applies:

- Stage 1 — Verbal Warning: Documented in writing for the file, valid for 6 months.
- Stage 2 — Written Warning: Issued for repeated or more serious issues, valid for 12 months, with specific improvement expectations and a review date.
- Stage 3 — Final Written Warning: Issued where prior warnings have not resolved the issue, or for a single serious incident, clearly stating that further breach may result in termination.
- Stage 4 — Termination: Applied where the final written warning stage has not resolved the issue, or where the nature of the misconduct warrants termination without progressing through all stages.

### 9.4 Gross Misconduct

Certain categories of misconduct may justify termination without notice and without progressing through the graduated stages, as described in Section 11 (Termination & Offboarding). Examples include theft, fraud, violence, and serious breach of confidentiality, but the list in Section 11 is illustrative rather than exhaustive; the Company assesses each case on its specific facts.

### 9.5 Investigation Process

Before any formal disciplinary action beyond a verbal warning is taken, an investigation is conducted by HR or a designated investigating officer, which may include: interviewing relevant witnesses; reviewing relevant system logs, emails, or documents (in accordance with the IT & Information Security Policy); and providing the employee an opportunity to respond to the allegations before a decision is made.

### 9.6 Right to Be Heard and Representation

Employees subject to formal disciplinary action have the right to be informed of the specific allegations in advance of any hearing, to respond to those allegations, and to be accompanied by a colleague of their choice at any formal disciplinary meeting.

## **9.7 Appeals**

An employee who disagrees with a disciplinary outcome may appeal in writing to the HR Director within 5 working days of the outcome being communicated, setting out the grounds for appeal. The HR Director's decision on appeal is final within the Company's internal process, without prejudice to any statutory rights the employee may separately have.

## **10. Workplace Conduct & Outside Activities**

### **10.1 Conflict of Interest**

Employees must promptly disclose to their manager or HR any situation that creates, or could reasonably be perceived to create, a conflict between their personal interests and the interests of the Company. This includes financial interests in vendors, clients, or competitors, and personal relationships with individuals in a direct reporting line.

### **10.2 Outside Employment**

Employees must obtain prior written approval from their line manager and HR before taking on any outside employment, consulting engagement, or business activity, to ensure there is no conflict of interest, no impact on performance of Company duties, and no use of Company time or resources for the outside activity. Outside employment with a direct competitor of the Company is not permitted under any circumstances.

### **10.3 Gifts and Hospitality**

As detailed further in the Employee Handbook Code of Conduct section, employees may not accept gifts exceeding the stated threshold from vendors, clients, or business partners without prior written HR approval, and must record any hospitality received above a nominal value in the Gifts & Hospitality Register.

### **10.4 Use of Company Property**

Company-issued equipment, software licenses, and access credentials must be used solely for legitimate business purposes. Personal use of email and internet access should be minimal and must never involve illegal content, harassment, or activities that could damage the Company's reputation.

### **10.5 Dress Code**

Employees are expected to dress in a manner appropriate to their role and any client-facing responsibilities. Office-based roles generally follow a "smart casual" standard on regular days, with formal business attire expected for client visits, board meetings, and similar occasions, unless the relevant client or context indicates otherwise.

### **10.6 Social Media and Public Communications**

Employees representing the Company on professional or social media platforms should do so in a manner consistent with the Company's values and Code of Conduct, and must not disclose confidential information or speak on behalf of the Company on matters of official policy unless specifically authorised to do so (for example, by the Corporate Communications team).

## **11. Termination & Offboarding**

### **11.1 Termination by Notice**

Employment may be terminated by either party by serving the applicable notice period in writing, as described in Section 5.

### **11.2 Termination Without Notice — Gross Misconduct**

Narsimha Tech reserves the right to terminate without notice in cases of gross misconduct, including but not limited to: theft, fraud, wilful damage to company property, serious insubordination, workplace violence, or material breach of the NDA or Code of Conduct. A finding of gross misconduct follows the investigation process described in Section 9.5, save that interim suspension (with pay, pending investigation) may be applied immediately where there is a risk to people, property, or evidence.

### **11.3 Termination for Redundancy**

Where a role is made redundant due to genuine business, technological, or economic reasons, the Company will follow applicable consultation requirements under local law, consider redeployment to a suitable alternative role where one exists, and apply the standard notice (or pay in lieu) and severance terms applicable to redundancy situations as communicated at the time.

### **11.4 Mutual Separation**

The Company and an employee may agree a mutual separation on terms recorded in a Separation Agreement, which may include an agreed last working day, an ex-gratia payment, and mutual non-disparagement and confidentiality undertakings, subject to Legal and HR Director review.

### **11.5 Offboarding Checklist**

Upon termination (for any reason), the employee must: return all company-issued equipment and access credentials on or before the last day; complete the HR offboarding checklist, including knowledge transfer documentation; settle any outstanding advances, loans, or corporate card balances; and participate in an exit interview, which is used to gather constructive feedback and is treated confidentially.

### **11.6 Exit Interview**

Exit interviews are conducted by HR, typically in the final week of employment, and cover reasons for leaving, feedback on the manager and team, and any unresolved concerns. Feedback is aggregated for trend analysis and is not shared with the line manager in a form that identifies the individual unless the employee consents.

### **11.7 Final Settlement**

Final settlement (unpaid salary, encashable leave balance, gratuity if applicable, and any deductions) will be processed within 30 calendar days of the last working day. The final settlement statement itemises: pro-rated salary up to the last working day; encashed leave balance per the Detailed Leave Policy; any pending reimbursements approved before the last working day; statutory deductions; and recovery of any outstanding advances, training bonds, or unreturned equipment value.

## **11.8 Reference Checks**

The Company's standard practice is to confirm only factual details of employment (dates of service, role held, and, where the former employee consents, a neutral statement of eligibility for rehire) in response to reference requests, consistent with the Employee Handbook's approach to fair and consistent practice.

## **11.9 Re-Employment**

Former employees who left in good standing may be considered for re-employment; prior service is generally not aggregated with a new period of employment for benefit calculation purposes unless the break in service was shorter than a period defined by local law or Company policy at the time.

## 12. Amendments, Governing Law & Acknowledgement

### 12.1 Amendments

Narsimha Tech reserves the right to amend these Terms of Employment from time to time to reflect changes in business needs, legal requirements, or market practice. Material changes will be communicated to employees with reasonable notice and, where required by local law, employee consultation or consent.

### 12.2 Severability

If any provision of these Terms is found to be invalid or unenforceable under applicable law, that provision will be modified to the minimum extent necessary to make it enforceable, or severed if modification is not possible, without affecting the validity of the remaining provisions.

### 12.3 Governing Law

These Terms are governed by the laws of India for employees based in India, and by the laws of the employee's work location for employees engaged elsewhere, as specified in the individual employment letter.

### 12.4 Acknowledgement

By accepting an offer of employment and commencing work, the employee acknowledges that they have read, understood, and agree to be bound by these Terms of Employment, as may be amended from time to time in accordance with Section 12.1.

### 12.5 Document Control

| Attribute         | Detail                                                                                                                                     |
|-------------------|--------------------------------------------------------------------------------------------------------------------------------------------|
| Document Owner    | Head of Human Resources                                                                                                                    |
| Review Frequency  | Annual, or upon material legal/regulatory change                                                                                           |
| Last Reviewed     | January 2025                                                                                                                               |
| Related Documents | Employee Handbook; Detailed Leave Policy; Global Travel Policy; Code of Conduct & Business Ethics Policy; IT & Information Security Policy |